

Retail Equity Research

Eternal Limited

Generated: 13 June 2026
Sector: Internet & Catalogue Retail

Recommendation
Neutral

Company Overview

Eternal Limited, formerly Zomato Limited, operates as an online food delivery company. It runs a B2C platform under the Zomato brand. The company also operates Hyperpure and Blinkit, organises events, provides payment services and engages in investment activities.

Investment Thesis

- Strong market position and growth prospects in the quick commerce business (QCB).
- Focus on inventory ownership and margin improvement expected to drive profitability.
- Significant portion of the Blinkit business is already generating profits, indicating feasibility of long-term margin guidance.

Financial Metrics

Metric	Value
Revenue	Rs. 7,167cr
Revenue Growth	70.4% YoY
EBITDA	Rs. 115cr
EBITDA Margin	1.6%
PAT	Rs. 25cr
PAT Growth	90.1% YoY

Outlook

Eternal Limited is poised for long-term growth and improved profitability, driven by its strong market position and growth prospects in the quick commerce business (QCB). The company's focus on inventory ownership and margin improvement is expected to drive profitability. Although the industry outlook remains competitive, the company's strategy and long-term growth objectives, along with its strong management team, are expected to drive future growth. However, the stock's significant run-up in price and rich valuations limit the upside potential from current levels.

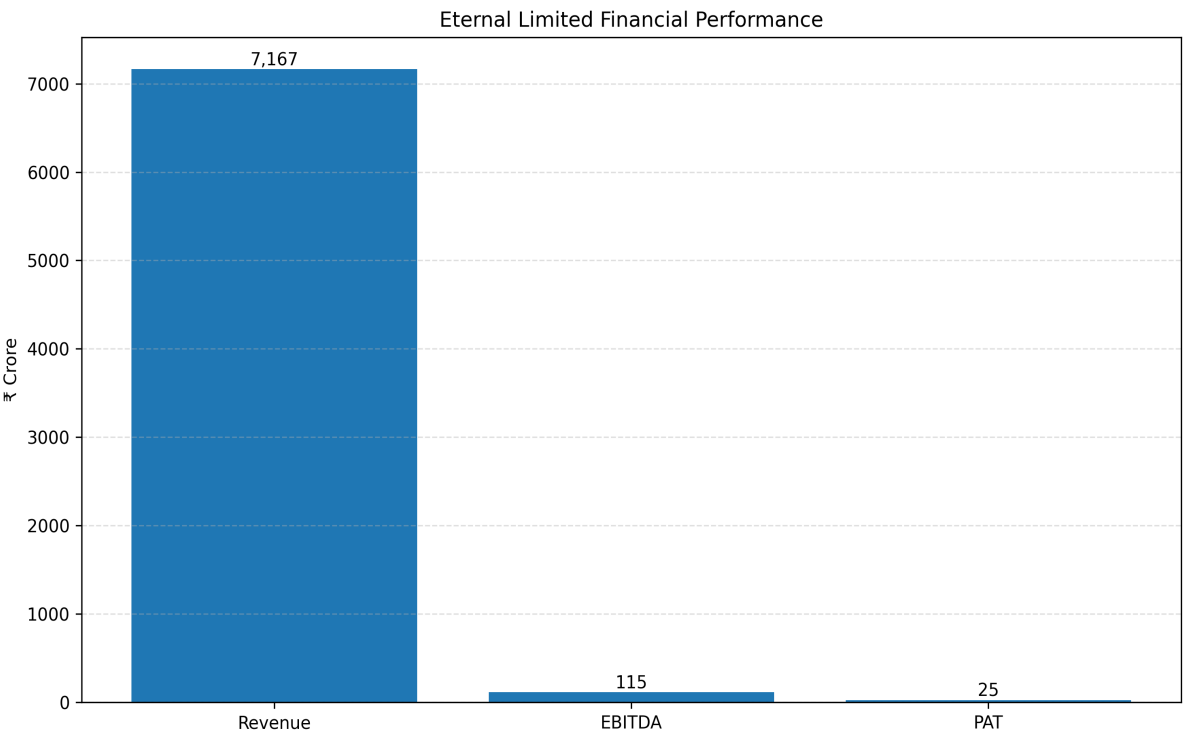
Key Highlights

- Consolidated revenue from operations surged 70.4% YoY in Q1FY26 to Rs. 7,167cr, driven by robust growth across all segments.
- Blinkit added 243 new stores in Q1FY26, expanding its total network to 1,544 stores, with a target to reach 2,000 stores by December 2025.
- EBITDA fell 35.0% YoY to Rs. 115cr in Q1FY26 due to higher operating expenses, leading to a 260bps decline in EBITDA margin to 1.6%.
- Blinkit business witnessed remarkable 127% YoY growth in Net Order Value (NOV), fueled by a 123% increase in average monthly transacting customers, despite ongoing investments.

Growth Drivers

- Strong growth prospects in the quick commerce business (QCB).
- Strategic focus on inventory ownership and margin expansion within quick commerce.
- Expansion of Blinkit's store network, targeting 2,000 stores by December 2025.

Financial Performance



Risks

- Competitive industry outlook.
- Significant run-up in stock price and rich valuations limiting upside potential.
- Seasonal impact on food delivery margins due to delivery partner availability and adverse weather conditions in Q1.